# General AIR Information

## IRS Launches New Electronic Filing System for Small Tax-Exempt Organizations

The IRS launched a new free electronic filing system to enable small tax-exempt organizations to file Form 990-N, *Electronic Notice (e-Postcard) for Tax-Exempt Organizations Not Required To File Form 990 or 990-EZ.*

The new electronic filing requirement, a provision of the Pension Protection Act (PPA) of 2006, applies to organizations not required to file Forms 990 or 990-EZ because their gross receipts are normally $25,000 or less. Form 990-N can only be filed electronically; there will not be a paper version of the form.

**How to Use**

Filers will access and register to use the electronic filing system through the IRS Web site, IRS.gov *(http://www.IRS.gov.* After registering as a user and creating a Login and Password, the filer will receive an e-mail with a link that will allow the filer to activate their Login ID and create the e-Postcard. Organizations will need the following items of information in order to file:

- EIN
- Tax year
- Legal name
- Mailing address
- Any other names used
- Web address if one exists
- Name and address of a principal officer
- Confirmation that the organization's annual gross receipts are normally $25,000 or less

Some of this information will be pre-populated on the Form 990-N from IRS records.

The e-Postcard filing system will allow organizations to notify the IRS that they are no longer in business and have terminated their existence. Exempt Organizations who fail to file Form 990-N for three consecutive years will have their tax-exempt status revoked as of the filing due date of the third year.

The IRS also created a system to provide for the public disclosure of the filings either on-line or by downloading the files. The disclosure site will have enhanced search capabilities allowing the public to search by EIN, name, or location. IRS

**Related Links:**

- Tax Information for Charities & Other Non-Profits at *http://www.irs.gov/eo*
- Subscribe to the Exempt Organization's *EO Update* at *http://www.irs.gov/charities/content/0%2C%2Cid=154838%2C00.html*, a regular e-mail newsletter that highlights new information posted on the charities pages of the Web site.
- Form 990 Redesign for Tax Year 2008 (Filed in 2009) at *http://www.irs.gov/charities/article/0%2C%2Cid=176613%2C00.html*

## A New Look for MSER

**The Office of Management and Budget has recently approved a fresh new look for the Multi-state Employer Registration (MSER) form.**

**The MSER form is used by employers who have employees in two or more states but wish to report all their new hires to one state. As a requirement of the Personal Responsibility Work Opportunity Reconciliation Act (PRWORA) of 1996, multi-state employers wishing to report their new hires to one state must notify the Department of Health and Human Services (HHS) via the on-line registration process or by mailing or faxing the completed hard copy form to the address provided on the form.**

**Much like the form that expired April 30, 2007, the revised form provides employers with a quick, convenient, user-friendly way to notify the Department of Health and Human Services of their choice to report to one state. The enhanced on-line registration process makes navigating through the various fields much easier and faster.**

**Employers may also use either the on-line registration process or the hard copy form to update their information. Updates to information may include notifying the Department that they are no longer a multi-state employer, adding or deleting subsidiary information, changing their password or updating their contact information.**

**If you need assistance in completing the form, call the Multi-state Employer Registry Help Desk at 410-277-9470 (8:00 a.m.– 5:00 p.m. ET) or email MSEdb@acf.hhs.gov.**

- **To print a copy of the form, visit the Employer Services website at: *http://www.acf.hhs.gov/programs/cse/newhire/employer/publication/forms/mseform6.pdf.***
- **To access the on-line registration process, go to: Multi-state Employer Registry at *http://151.196.108.21/ocse.*** HHS

## QETP Initiative continued from page 1

IRS executives announced the agreements during a Nov. 6, 2007 press conference which speakers and representatives from U.S. DOL, NASWA, FTA, and several participating states attended. IRS press release IR-2007-184 has more information about the agreements and comments from some participating agencies.

In addition to coordinating compliance activities, the agreements call for collaborative outreach and education activities designed to help businesses understand their employment and unemployment tax responsibilities.

All of the parties working together on QETP hope that the collaborative efforts the partners are taking will help level the playing field for business by reducing the unfair advantage businesses who do not meet all their employment tax obligations have over business that do meet all of their obligations. IRS

**Related Links:**

- Press Release IR 2007-184 at *http://www.irs.gov/newsroom/article/0%2C%2Cid=175457%2C00.html*
- Fact Sheet: FS-2007-25 at *http://www.irs.gov/newsroom/article/0%2C%2Cid=175455%2C00.html*

## New Form for Misclassified Workers

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**and Medicare tax on allocated tips and tips they did not report to their employers.** IRS

**Related Links:**

- **IR-2007-203, Misclassified Workers to File New Social Security Tax Form at *http://www.irs.gov/newsroom/article/0%2C%2Cid=176666%2C00.html***
- **Form 8919 at *http://www.irs.gov/pub/irs-pdf/f8919.pdf***
- **Employment Taxes and Classifying Workers at *http://www.irs.gov/newsroom/article/0%2C%2Cid=177092%2C00.html***
- **November Tax Talk Today Focused on the Importance of Properly Classifying Workers at *http://www.irs.gov/businesses/small/article/0%2C%2Cid=175631%2C00.html***

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Social Security Administration

Internal Revenue Service

# Reporter

Spring 2008

A Newsletter for Employers

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IRS

Department of the Treasury
Internal Revenue Service

w w w . i r s . g o v

Publication 1693 (Rev.03-08)
Catalog Number 15060W

## QETP Initiative Enables IRS and States to Share Employment Tax Examination Results

Officials from the Internal Revenue Service and workforce agencies from 31 states have entered into agreements to share the results of employment tax examinations.

The agreements, part of the Questionable Employment Tax Practice (QETP) initiative, provide a centralized, uniform means for the IRS and state employment officials to exchange data, thereby leveraging resources and encouraging businesses to comply with federal and state employment tax requirements.

### Collaborative Effort

The agreements are the result of a collaborative effort between the IRS, state workforce agencies from California, Michigan, New Jersey, New York and North Carolina, the United States Department of Labor (DOL), the National Association of State Workforce Agencies (NASWA), and the Federation of Tax Administrators (FTA). All of these agencies worked together to develop the agreements and were instrumental in helping make sure the agreements meet the needs of the participating states as well as the needs of the IRS.

The agreements help the IRS and its state partners to improve compliance in the employment tax arena, leverage increasingly tight resources, reduce fraudulent filings, uncover employment tax avoidance schemes, and ensure proper worker classification.

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## New Form for Misclassified Workers to Report Social Security Taxes

**On December 20, 2007, the IRS announced in press release IR-2007-203 that Form 8919, *Uncollected Social Security and Medicare Tax on Wages* was available for employees who have been misclassified as independent contractors by an employer to figure and report the employee's share of uncollected social security and Medicare taxes due on their compensation.**

**Taxpayers who file the Form 8919 include section 530 employees—that is, people who work for employers claiming relief from federal payroll taxes under section 530 of the Revenue Act of 1978. It also includes employees who are treated as independent contractors but who have received a determination letter from the IRS which states they are employees. Workers who believe they are misclassified as independent contractors can file Form SS-8 with the IRS and request a determination of their worker classification.**

**The IRS will send the data from the Form 8919 electronically to the Social Security Administration to ensure that the proper social security and Medicare taxes will be credited to a filer's social security account.**

**Form 8919 is available for use for the 2007 tax year. Taxpayers can file Form 8919 and pay their share of the social security and Medicare tax with their 2007 Form 1040, which has a new tax payment line, *Line 59—Unreported Social Security and Medicare Tax for Forms 4137 and 8919.* Taxpayers can also file and pay with the Forms 1040NR-EZ, 1040-SS, or 1040-PR. Taxpayers cannot file Form 8919 with Forms 1040A or 1040-EZ.**

**Taxpayers should use Form 8919 for 2007 and later years and discontinue using Form 4137 to report misclassified wages. Taxpayers should use Form 4137 only to figure and report the social security**

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